

# The Odds Are Not the Question

*Monday opens with the direction probably right and almost nothing left to be paid for being right.*

## THE READING

Friday's S&P 500 closed near 7,785, down 0.2%, and still finished a third consecutive higher week. That was the answer to July retail sales falling 0.6% against a consensus near plus 0.2%. On Thursday the Russell 2000 printed an all-time high at 3,065.83 and closed only 36% up its daily range. The VIX went out near 14.6 against a band of 14.05 to 16.43. High yield sat two cents off the top of its range. Hedgeye's immediate-term band for the index is 7606 to 7861: 76 points of upside, 179 points of downside. The mood is not excitement. It is the settled conviction that a bad number no longer costs anything.

## WHAT WISDOM WOULD SAY

Pascal's wager, in the *Pensées*, is remembered as an argument about belief. Its structure is about something else. Pascal concedes the odds and then shows that the odds are not what decides, because what stands to be won and what stands to be lost are not the same size. Where the two are unequal enough, magnitude governs and probability becomes the secondary term.

A trend signal is a probability claim: this direction, more likely than not. A position in a range is a magnitude claim: what that direction is worth from here. On Friday's close the two disagree. Being right about the next move earns something under one percent. Being wrong costs the depth of the band. The framework can be entirely correct and stop paying at the same time, and those are separate facts. That is not a reason to abandon it. It is a reason to stop reading a green signal as an instruction to add.

## THE RISK IT JUSTIFIES

This argues against putting on new index exposure at Monday's open, and not against holding what is already on. Exposure established two hundred points lower is a different instrument from the same exposure established here; the entry price is part of the position. Trimming into strength is what the arithmetic supports,

and it is what Hedgeye did on Friday, going from eight longs and no shorts to seven longs and two shorts.

The asymmetry runs the other way in places. Copper sits in the lower third of its range on a bullish trend. Gold is mid-band. Those are locations where being right still pays for itself.

Two things would change the answer. A close above 7,861 that holds would reset the band higher and restore the payoff. A VIX leaving the floor would say the market has begun pricing something it spent last week ignoring.

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*Would you put this position on today, at this price?*